"What Does Mom Actually Have?" Questions Families Ask When the Care Bills Start

Plain answers to general questions, and who can answer for your situation.

You're not the first family to sit down with a parent's care bill and a stack of unopened statements. These are the questions that come up most, answered in general terms.

None of the answers is about Mom in particular. Where the honest answer is "it depends on the state and the situation," the answer says so and names who to ask.

1 What financial documents do we need right now?

Start with the paper that shows what she has and what she receives. The Consumer Financial Protection Bureau's list of the documents most relevant to a person's finances includes bank and brokerage statements, mortgage and credit information, insurance policies, pension and retirement benefit summaries, and Social Security payment information. Add the latest bill or rate sheet from the facility or care provider. Which further records your situation calls for, and how far back they go, depends on the state and on what happens next. [1]

> **ASK A PROFESSIONAL WHEN** you're not sure whether a record matters or how far back to look. Ask your Medicaid planner before you spend a weekend searching.

2 How much money does Mom actually have available for care?

A general guide can't tell you, and a list of balances can't either. It depends on what she owns, whose name is on each item, and the rules where she lives; the federal long-term care site notes that Medicaid's assessment of a person's assets can be fairly complex, depending on how much and what kind of assets there are. What you can do is list every account, policy and property you know of, with the most recent statement and the names on it. The answer gets worked out from that list. [2]

> **ASK A PROFESSIONAL WHEN** you have the list and want to know what it means for paying for Mom's care. That is a question for your Medicaid planner.

3 How long can Mom afford to keep paying privately?

It depends on her income, what she owns, what her care costs and how each of those changes, so no general guide can say. The federal long-term care site notes that the cost of care itself depends on the type and duration of care, the provider and where you live. What you can do now is write down what care is costing each month, from the bill, and what comes in each month, from the statements and benefit letters. [3]

> **ASK A PROFESSIONAL WHEN** you want an estimate for your own family. Bring both lists to your Medicaid planner; a rule of thumb from someone else's family won't fit yours.

4 Why is Mom paying out of pocket? Doesn't Medicare or Medicaid cover this?

Medicare.gov says Medicare generally doesn't cover long-term care in a nursing home, and that most people who enter nursing homes start by paying for their care out of pocket. It describes Medicaid as a joint federal and state program that helps pay health care costs for people who have limited income and, in some cases, resources, and who meet other requirements. Those requirements differ from state to state and change, so this page doesn't list any. [4]

> **ASK A PROFESSIONAL WHEN** you want to know whether Medicaid may help pay for Mom's care. It depends on her state and her situation. That is a question for your Medicaid planner, and Medicare.gov points families to their state Medicaid office for eligibility information.

5 My name is on one of Mom's accounts. Does that matter?

It may, and how depends on the kind of account and on the state. The Consumer Financial Protection Bureau explains that a joint account, where the money is jointly owned, is not the same as a convenience account, which does not change who owns the money in it. Write down the names on each account exactly as the statement prints them, and ask the bank which kind of account it is. [5] [6]

> **ASK A PROFESSIONAL WHEN** you're thinking of adding or removing a name, or moving money between accounts. The Bureau's guide for people managing a relative's money says to get legal advice before making any change to a joint account; an elder law attorney is the person to ask.

6 Mom is married. Do we need her husband's finances on the list too?

Yes, list both. The federal Medicaid provisions written for married couples speak of “the couple's combined resources,” and they call the husband or wife still living at home the “community spouse.” How a couple's income and resources are treated depends on the state and the situation, and this page doesn't say. [7]

> **ASK A PROFESSIONAL WHEN** one spouse needs care and the other is living at home. Bring the whole list to your Medicaid planner or an elder law attorney.

7 We found withdrawals and gifts in her statements that nobody can explain. What do we do?

Write each one down: the date, the amount as the statement shows it, where it went if you know, and who in the family might remember. Don't decide what it means, and don't try to undo anything. At this stage they are questions, not conclusions.

> **ASK A PROFESSIONAL WHEN** you have a list of withdrawals, gifts or transfers you can't account for. Bring it to your Medicaid planner, who carries them forward as questions for review.

8 Mom has a long-term care policy and some life insurance. Who do we ask about them?

The insurance company, first. For long-term care insurance, Medicare.gov's advice is to check the policy or call the insurer to find out if the care she needs is covered, and it notes that these policies vary widely. For life insurance, ask the company what kind of policy it is and what its values are today. Write down the company, where each policy is kept and what you were told. [4]

> **ASK A PROFESSIONAL WHEN** anyone is thinking of using, changing or cashing in a policy. That decision belongs with a licensed insurance professional and your Medicaid planner, not with this page.

9 The accounts are in Mom's name only. How do we see what's in them?

It depends on what Mom has put in place and on each institution's own policies. If she is able, the simplest way is to sit down together; the Consumer Financial Protection Bureau says that even if it feels awkward, it is important to have an honest conversation about finances, and notes that a person can ask a bank or broker to send duplicate statements to a daughter or an accountant. If she has already named someone to act for her, AARP suggests contacting each institution's customer service or visiting a branch to learn what access that gives. [1] [8]

> **ASK A PROFESSIONAL WHEN** nobody has been named to act for Mom, or you're not sure what is in place. That is a question for an elder law attorney.

10 Who answers the questions this page can't?

It depends on the question. The bank, the insurance company or the pension office can say what an account or policy is and whose name is on it. The facility's or provider's business office can explain a bill. Your Medicaid planner looks at how the whole picture fits together and what to ask next, and legal questions go to an elder law attorney. To find local help, the Consumer Financial Protection Bureau points families to their Area Agency on Aging through the Eldercare Locator at eldercare.acl.gov. [6]

> **ASK A PROFESSIONAL WHEN** you don't know which kind of professional a question belongs to. Ask any of them, and they can point you.

What this guide doesn't do

It doesn't answer any question about Mom's own finances. Anything that depends on her state, her accounts or her family needs someone who has looked at them. Nothing here is legal, financial or tax advice.

Ready for the next step?

You have plain answers to the general questions. The planning interview is where the questions become about your family: it asks about your situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
2. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
3. Administration for Community Living (LongTermCare.gov), Costs of Care

4. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
5. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
6. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
7. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
8. AARP, Legal Checklist for Caregivers With Aging Parents
